

Drop Ship Process

Complete Setup & Execution Guide with Screenshots

A Practical Reference for Oracle ACE Practitioners

Introduction

Drop Shipping is one of the most strategically important fulfillment models in modern supply chain management. It enables a business to sell products to customers without ever holding those products in its own inventory. When an order is placed, the seller purchases the item from a third-party supplier, who ships it directly to the end customer — bypassing the seller's warehouse entirely.

In Oracle Fusion Cloud, this entire flow — from sales order to purchase order to supplier shipment — is seamlessly integrated and fully automated through the Redwood user experience. The integration spans Order Management, Global Order Promising (GOP), Procurement, and the Supplier Portal.

This article provides a detailed, screenshot-supported walkthrough of the complete Drop Ship setup and execution process in Oracle Fusion Redwood, written for Oracle ACE community members, functional consultants, and SCM implementation specialists.

Part 1: Blanket Purchase Agreement

A Blanket Purchase Agreement (BPA) is a long-term purchasing contract established with a supplier for predefined items at pre-negotiated prices. In the drop ship context, the BPA is the automation engine — when a drop ship sales order is booked, Oracle references the BPA and automatically generates a standard Purchase Order against it, with correct pricing and supplier terms, without any manual Procurement intervention.

In the example below, Blanket Agreement 52207 is configured with supplier Lagring Systems, covering items CM53035 (Vision Rack II 1042RU) and CM53036 (Vision Rack II 1242RU) at agreed unit prices of \$200 and \$250 respectively.

Blanket Purchase Agreement 52207

Open

...

Communcate

Duplicate

View PDF

Procurement BU US1 Business Unit

Creation Date 3/30/16

Highlights (generated by AI)

The purchase agreement includes two types of items: Vision Rack II 1042RU and Vision Rack II 1242RU.

Supplier
Lagring Systems

Supplier Site
Lagring Systems

Start Date
3/30/16

Currency
USD

Buyer
Calvin Roth

Agreement Amount
50,000.00 USD

Released Amount
1,000.00 USD

Description
DropShip

Lines (2)

Agreement Details

Controls

Life Cycle

Line

Status

Line Type

Item

Item Attributes

Description

Category

Supplier Item

UOM

Price (USD)

Price Breaks

More Details

1

Open

Goods

CM53035

Vision Rack II 1042RU

Miscellaneous

Ea

200.00

2

Open

Goods

CM53036

Vision Rack II 1242RU

Miscellaneous

Ea

250.00

Figure 1 — Blanket Purchase Agreement 52207: Supplier Lagring Systems, Items CM53035 & CM53036 with agreed pricing

Best Practice: Even though the BPA is technically optional for drop shipping, it is strongly recommended. Without it, purchase orders must be created manually for every drop ship order — eliminating the core automation benefit of the entire flow.

Part 2: Item Configuration in Product Information Management

For an item to participate in the drop ship flow, specific attributes must be correctly configured across different tabs of the item definition in Product Information Management (PIM). These attributes tell Oracle Fusion: 'This item is not stocked internally — source it from a supplier automatically when customer demand exists.'

Order Management Tab — Back-to-Back Enabled

The Order Management tab contains the master switch for drop shipping: the 'Back-to-Back Enabled' toggle. Enabling this instructs Oracle to automatically create a supply order (purchase requisition and PO) whenever this item appears on a submitted sales order. Additionally, the 'Default Sales Order Source' must be set to External to indicate the item is always procured externally.

Figure 2 — Item CM53035 Order Management Tab: Back-to-Back Enabled toggled ON, Default Sales Order Source = External

MRP Planning Tab — Planning Method

The MRP Planning tab should have the Planning Method set to MRP Planning. This ensures Global Order Promising can apply sourcing rules and ATP calculations correctly for the drop ship item, using the rules configured in the next section.

Figure 3 — Item CM53035 MRP Planning Tab: Planning Method = MRP Planning, Create Supply = Yes

Note: The Purchasable flag on the Purchasing tab must also be set to Yes. Without it, the system cannot raise a purchase requisition for the item and the automation will fail silently.

Part 3: Global Order Promising Setup

Global Order Promising (GOP) is the Oracle Fusion engine that determines how and from where an item will be sourced when a sales order is placed. For drop shipping, GOP must be configured to source the item externally — by purchasing it from a designated supplier. Three components must be set up in sequence.

Sourcing Rule

A Sourcing Rule defines the supply source for an item. For drop shipping, create a 'Buy From Supplier' rule specifying the supplier and supplier site that will fulfill the demand. The rule shown below — B-Lagring (Lagring Systems) — is configured as a Buy From rule with 100% allocation to Lagring Systems, effective from 3/10/16.

Navigation: *Setup and Maintenance > Global Order Promising > Manage Sourcing Rules*

Global Order Promising Manage Assignment Sets x

Edit Sourcing Rule: B-Lagring (Lagring Systems) [Save] [Cancel]

* Name: B-Lagring (Lagring Systems)
Description: Buy from Lagring Systems (Lagring Systems)
☐ Enable for subinventory-level planning

Organization Assignment Type: Global
Organization: Planning active

Sourcing Rule Effective Dates
Actions: View, +, X, Detach
Start Date: 3/10/16 End Date: midday

Effective Start Date 3/10/16: Sources
Actions: View, Format, +, X, Freeze, Detach, Wrap, Copy Sources

Type	Organization	Supplier	Supplier Site	Supplier Site Source System	* Allocation Percent	* Rank	Shipping Method	Carrier Name	Mode of Transport	Service Level	Transit Time	Est. Qty
Buy From	Lagring Sy	Lagring Sy	Lagring Sy		100	1						

Figure 4 — GOP Sourcing Rule: B-Lagring (Lagring Systems) — Type: Buy From, Supplier: Lagring Systems, Allocation: 100%

ATP Rule

The ATP Rule defines how Oracle calculates when an order can be fulfilled. For drop ship items, the rule uses Supply Chain Availability Search mode and considers purchase orders, supplier requisitions, and in-transit supplies — aligning availability calculations with the supplier's actual lead time rather than on-hand inventory.

Navigation: *Setup and Maintenance > Global Order Promising > Manage ATP Rules*

Create ATP Rule CM53035 ATP Rule Save Save and Close Cancel Last Saved: 11/8/25 4:20 PM

*** Name:** CM53035 ATP Rule
Description:

ATP Rule Criteria ATP Rule Assignment

Promising Attributes

Promising Mode: ☒ Supply chain availability search ☐ Lead time based ☐ Infinite availability based

☒ Search components and resources **Lead Time Considered:**
☒ Enable profitable to promise search **User-Defined Lead Time in Days:**
☒ Respect allocation constraints ☐ Truncate order fulfillment quantity to nearest integer
☒ Split order when supply becomes available **Minimum Quantity for Splitting:**

Supply Chain Availability Search Attributes

Supply Types: ☒ On hand ☒ Purchase orders ☒ Supplier regulations ☒ Internal requisitions ☒ In-stock supplies
☐ Standard work orders ☐ Nonstandard work orders ☐ Planned supply

Demand Types: ☒ Fulfillment lines ☒ Dependent work order demands ☒ Planned order demands

Infinite Availability Time Fence Definition
Infinite Availability Fence Definition: User-defined lead time
User-Defined Fence in Days:
Past Due Supply and Demand Definition
Past-Due Demand Considered in Days:
Past-Due Supply Considered in Days:
ATP Time Fence Definition
ATP Time Fence Specification: User-defined lead time
User-Defined Fence in Days:

Figure 5 — ATP Rule: CM53035 ATP Rule configured with Supply Chain Availability Search and supplier lead time parameters

Assignment Rule

The Assignment Rule is the critical link connecting the Sourcing Rule to the specific item. The assignment level is set to Item, and item CM53035 is linked to the B-Lagring sourcing rule. Without this assignment, GOP will not know which sourcing rule to apply when the item appears on a sales order.

Navigation: Setup and Maintenance > Global Order Promising > Manage Assignment Sets > GlobalOrderPromising

Edit Assignment Set: GlobalOrderPromising View Sourcing Hierarchy Edit in Spreadsheet Save Cancel

*** Name:** GlobalOrderPromising
Description: Global Order Promising Assignment Set
*** Catalog:** Planning Catalog
☐ Enable for subinventory-level planning

Sourcing Assignments

Actions: View Format Freeze Detach Wrap View Sourcing

Assignment Level	Organization	Customer	Customer Site	Demand Class	Category	Item	Description	Sourcing Type	Sourcing Rule or BIL of Distribution	Zone	Region
Item						CM53035	Vison Rack II 1...	Sourcing rule	B-Lagring		

Figure 6 — Assignment Rule: Assignment Level = Item, Item CM53035 linked to Sourcing Rule B-Lagring

Best Practice: Set the Assignment Level to 'Item' for items that must always be sourced externally, regardless of which organization receives the order. This ensures the drop ship rule fires consistently across all business units.

Part 4: Order Management Parameters

Before enabling drop ship features, the Order Management Parameters must be initialized and the Preparer for Procurement field must be configured. This field specifies the worker responsible for drop ship and back-to-back purchase orders within each Business Unit — it is Oracle Fusion Procurement that will raise the PO, and it needs to know who the preparer is.

Navigation: *Setup and Maintenance > Order Management > Manage Order Management Parameters*

Parameter Name	Parameter Description
Customer Relationship Type	Indicates whether a customer is a single customer or has related customers.
Has Configuration Validation on First Error	Indicates if Configuration validation fails on the first error or completes to report all errors.
Item Validation Organization	Indicates the Oracle Inventory organization that items are validated and viewed against.
Preparer for Procurement	Indicates worker information for Oracle Fusion Procurement, specific to drop ship and back-to-back orders.

* Business Unit	Preparer Name
US1 Business Unit	Roth, Calvin
China Business Unit	Zhou, Qi
Supremo US Business Unit	Petrova, Laura
Supremo CH Business Unit	Petrova, Laura

Figure 7 — Manage Order Management Parameters: Preparer for Procurement configured per Business Unit (US1 BU = Calvin Roth)

Note: The Preparer for Procurement must be an active employee with the correct Procurement roles. If this field is blank or the user is inactive, drop ship PO creation will fail.

Part 5: Offering and Feature Enablement

Oracle Fusion uses the Offerings framework to activate functional capabilities. For drop shipping, the Procurement Offering must have 'Customer Sales Order Fulfillment' enabled. This allows Procurement to receive and process supply requests that originate from Order Management — the core integration point of the drop ship flow.

Navigation: *Setup and Maintenance > Offerings > Procurement > Feature Opt-In*

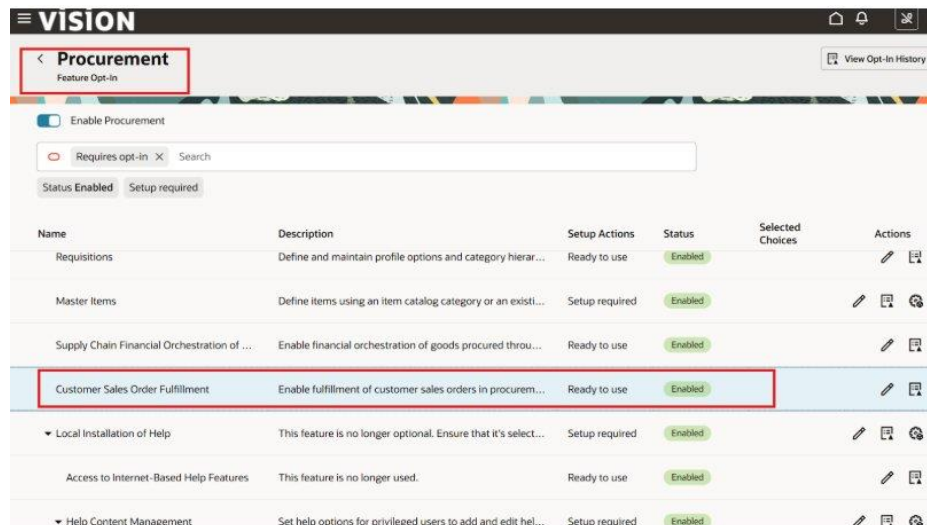


Figure 8 — Procurement Offering: Customer Sales Order Fulfillment feature — Status: Enabled

Best Practice: The Order Management Offering also requires the Drop Ship feature to be opted in. Always verify both offerings are enabled and test with a sample order in a non-production environment before go-live.

Part 6: Drop Ship Financial Flow Configuration

The Drop Ship Financial Flow governs the financial orchestration between the Selling Business Unit and the Requisition Business Unit. It determines when ownership of goods transfers from the supplier to the seller — a critical decision that directly affects accounting entries and revenue recognition timing.

Navigation: Setup and Maintenance > Order Management > Manage Drop Ship Financial Flows

In the example below, the financial flow 'DropShipFlow_GSE' is configured with:

- Supplier Ownership Change Event = ASN from Supplier — ownership transfers when the supplier submits the ASN.
- Priority = 2 — controls which financial flow rule takes precedence when multiple rules exist.
- Status = Active.

Figure 9 — Drop Ship Financial Flow: DropShipFlow_GSE — Supplier Ownership Change Event = ASN from Supplier

The Selling BU to Receiving BU Relationships section defines the inter-company or intra-company linkage. In the example, US1 Business Unit (Selling BU) is linked to US1 Business Unit (Receiving BU) with the Chicago trade organization, effective from 3/4/16.

Line	* Selling BU	Selling Legal Entity	* Receiving Trade Organization	Receiving BU	Receiving Legal Entity	Requisition BU	* Effective Start Date	Effective End Date
1	US1 Business Unit	US1 Legal Entity	Chicago	US1 Business Unit	US1 Legal Entity	US1 Business Unit	3/4/16	
2	Supremo US Business	Supremo US Legal Entity	DC 2	Supremo US Business	Supremo US Legal Entity	Supremo US Business		3/24/21

Figure 10 — Drop Ship Financial Flow: Selling BU to Receiving BU Relationship — US1 BU linked to US1 BU via Chicago trade org

Best Practice: ASN from Supplier is the recommended ownership change event. It triggers financial recognition at the point of confirmed physical shipment — aligning accounting with the actual fulfillment event and providing earlier revenue recognition.

Part 7: Drop Ship Sales Order Creation

With all setup complete, you are ready to create a drop ship sales order. This is where Oracle Fusion's full automation becomes visible. Adding the drop ship item and submitting the order triggers a cascade of automated actions across Order Management, GOP, and Procurement — all without manual intervention.

Navigation: *Order Management > Create Order (Redwood UI)*

Sales Order 98500 is created for Customer Business World (US1 Business Unit) with item CM53035 (Vision Rack II 1042RU), quantity 1, at a unit price of \$1,350. Upon submission, the line status immediately shows Awaiting Shipping and the Fulfillment Type is set to Buy — indicating Oracle has recognized this as a drop ship item requiring external supply.

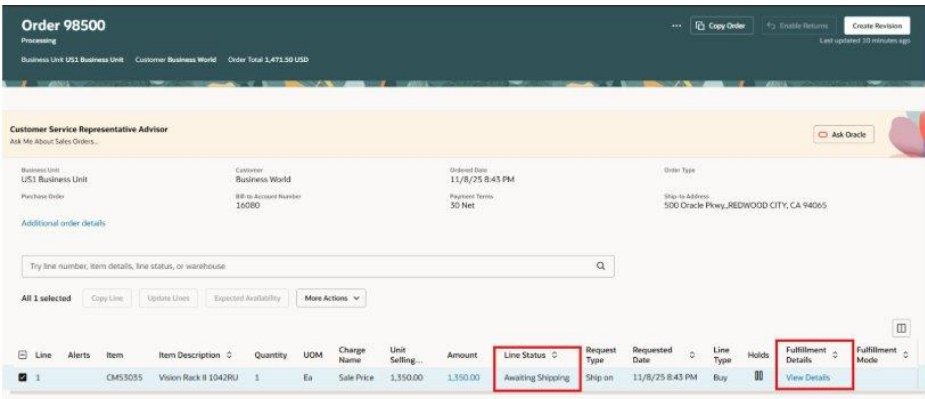


Figure 11 — Sales Order 98500: Item CM53035 submitted — Line Status: Awaiting Shipping, Fulfillment Type: Buy, View Details available

Fulfillment Tab — Drop Shipment Details

Clicking 'View Details' on the order line opens the Fulfillment panel, which provides complete visibility into the entire drop ship chain. This is the single most powerful screen for tracking a drop ship order — it shows the auto-generated requisition, the drop ship PO, the supplier, and the requisition business unit all in one view.

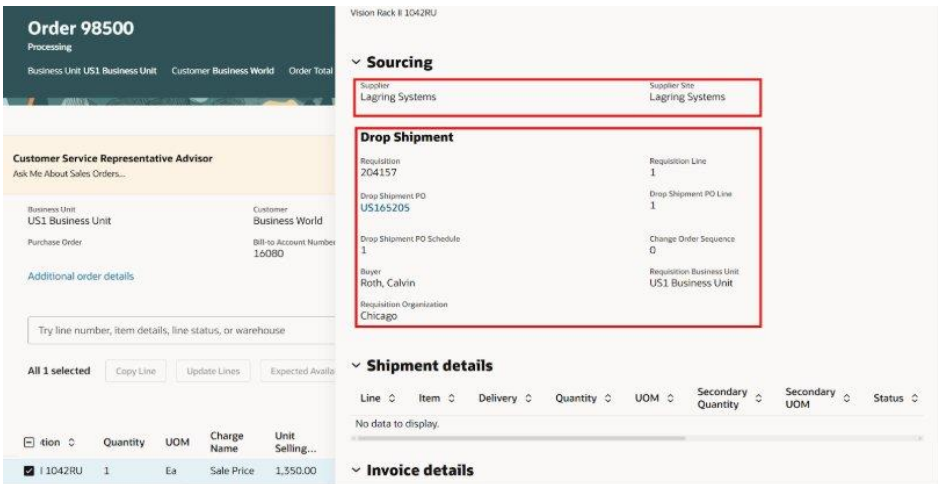


Figure 12 — Sales Order 98500 Fulfillment Details: Requisition 204157, Drop Shipment PO US165205, Supplier: Lagring Systems, Org: Chicago

Field	Value in Example
Requisition	204157 (auto-created by Order Management)
Drop Shipment PO	US165205 (auto-generated against BPA 52207)
Supplier	Lagring Systems
Supplier Site	Lagring Systems
Buyer	Calvin Roth (Preparer for Procurement)
Requisition Business Unit	US1 Business Unit
Requisition Organization	Chicago

Part 8: Drop Ship Purchase Order — US165205

The Drop Ship Purchase Order US165205 is automatically generated by Oracle Fusion Procurement the moment the sales order is submitted. It references Blanket Agreement 52207 for pricing, is raised against supplier Lagring Systems, and contains line 1-1 for item CM53035 (Vision Rack II 1042RU) at \$200.00 with a due date of 11/19/25.

This PO is created entirely without manual intervention. The buyer (Calvin Roth) is automatically assigned per the Preparer for Procurement configuration in OM Parameters.

Navigation: *Procurement > Purchase Orders > Search for PO US165205*

Figure 13 — Drop Ship Purchase Order US165205: Auto-generated for Item CM53035, Supplier Lagring Systems, Amount \$200, Status: Open

Best Practice: Monitor the PO status from the Fulfillment tab on the sales order rather than navigating to Procurement separately. The PO number (US165205) is a clickable link that takes you directly to the PO.

Part 9: Advance Shipment Notice (ASN) Creation

Once the Drop Ship Purchase Order is approved and transmitted to the supplier, the supplier ships the goods directly to the customer and submits an Advance Shipment Notice (ASN) through the Oracle Supplier Portal. The ASN is the trigger that updates order status and initiates financial ownership transfer.

Step 1 — Access the Supplier Portal

The supplier logs into the Oracle Supplier Portal and navigates to the Advance Shipment Notices tile. This Redwood-designed portal provides a modern, intuitive interface for suppliers to view purchase orders and submit ASNs electronically.

Navigation: *Supplier Portal > Advance Shipment Notices*

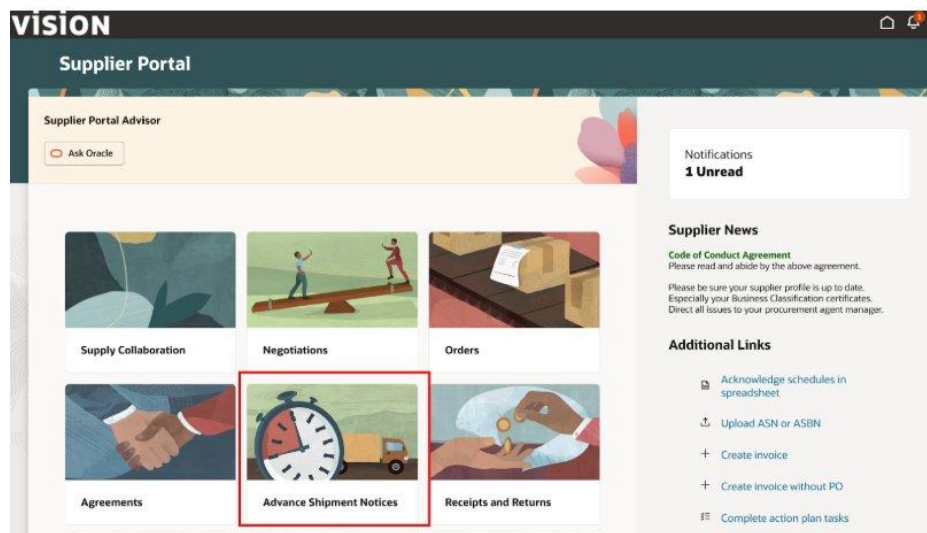


Figure 14 — Oracle Supplier Portal (Redwood): Advance Shipment Notices tile highlighted — Supplier: Lagring Systems

Step 2 — Select PO Lines and Create ASN

From the Purchase Orders to Ship screen, the supplier selects the relevant PO line — in this case, item CM53035 on PO US165205 (due 11/20/25, quantity 1 Ea) — and clicks Create ASN to initiate the shipment notice.

Navigation: *Supplier Portal > Advance Shipment Notices > Purchase Orders to Ship*

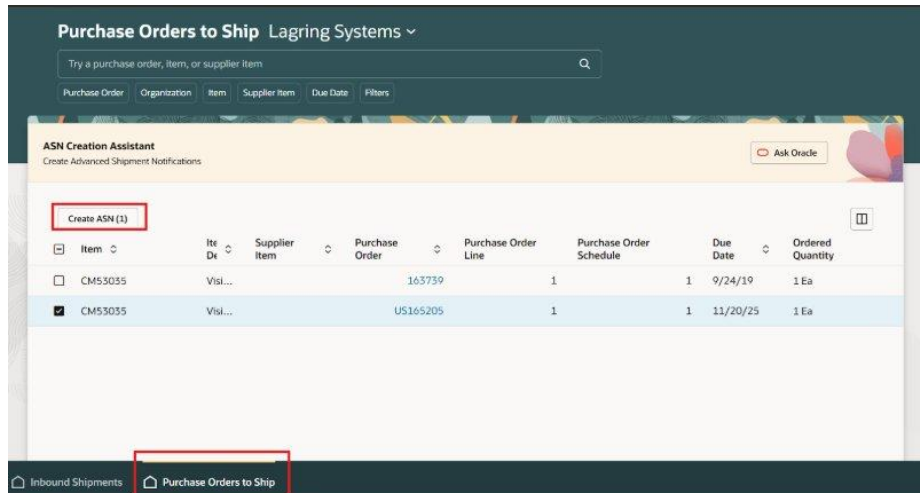


Figure 15 — Purchase Orders to Ship: PO US165205 selected, Item CM53035, Quantity 1 Ea — Create ASN button active

Step 3 — Enter ASN Details and Submit

The supplier completes the New ASN form with shipment details and submits. Oracle Fusion processes the ASN automatically upon submission — triggering the ownership transfer, updating inventory records, and changing the sales order line status.

ASN Field	Example Value
Shipment Number	US165205-1
Shipped Date	11/9/25 3:47 PM
Expected Receipt Date	11/9/25 3:47 PM
Shipping Method	DHL-Air-Next day air
Freight Terms	Buyer pays freight
Packing Slip	ABC2345678
Bill of Lading	BOL001
Tracking Number	US165205-1

New ASN
Supplier Lagring Systems

ASN details

Shipment: US165205-1
Supplier Shipment Number:
Shipped Date: 11/9/25 3:47 PM
Expected Receipt Date: 11/9/25 3:47 PM
Shipping Method: DHL-Air-Next day air
Freight Terms: Buyer pays freight
Packing Slip: ABC2345678
Bill of Lading: BOL001
Tracking Number: US165205-1
Notes:
Additional details

Figure 16 — New ASN Form: Shipment details entered — Packing Slip ABC2345678, BOL BOL001, Shipped 11/9/25 — Ready to Submit

Note: The ASN can also be submitted via EDI or file-based import if the supplier does not use the Oracle Supplier Portal. The downstream processing and status updates are identical regardless of the submission method.

Part 10: Sales Order Line — Awaiting Billing Status

Once the supplier's ASN is received and processed by Oracle Fusion, the system automatically updates the sales order line status to Awaiting Billing. This is the final milestone in the drop ship fulfillment cycle and is the signal for the Accounts Receivable team to generate the customer invoice.

Order 98500
Processing
Business Unit US1 Business Unit Customer Business World Order Total 1,471.50 USD
Last updated 19 hours ago

Customer Service Representative Advisor
Ask Me About Sales Orders... Ask Oracle

Business Unit: US1 Business Unit Customer: Business World Ordered Date: 11/8/25 8:43 PM Order Type:
Purchase Order: Bill-to Account Number: 16080 Payment Terms: 30 Net Ship-to Address: 500 Oracle Pkwy, REDWOOD CITY, CA 94065

Additional order details

Try line number, item details, line status, or warehouse

All 1 selected Copy Line Update Lines Expected Availability More Actions

Line	Alerts	Item	Item Description	Quantity	UOM	Charge Name	Unit Selling...	Amount	Line Status	Request Type	Requested Date	Line Type
1		CM53035	Vision Rack II 1042RU	1	Ea	Sale Price	1,350.00	1,350.00	Awaiting Billing	Ship on	11/8/25 8:43 PM	Buy

Figure 17 — Sales Order 98500: Line Status updated to Awaiting Billing after ASN processing — Item CM53035, Amount \$1,350

This status update carries precise meaning in the Oracle Fusion order lifecycle:

- Physical shipment to the customer has been confirmed via the supplier's ASN submission.
- Financial ownership transfer has been executed per the Drop Ship Financial Flow (ASN from Supplier event).
- The sales order line is now queued for customer invoicing through Oracle Receivables.
- No further fulfillment action is required — the line awaits the AR billing run.

Best Practice: Configure an automated notification or a scheduled BI Publisher report to alert the AR team when sales order lines reach Awaiting Billing status. Prompt invoicing reduces Days Sales Outstanding (DSO) and improves cash flow performance.

Complete Setup Checklist

Use this checklist to verify all required configurations are in place before going live with the Drop Ship flow:

Setup Task	Verified
Blanket Purchase Agreement created for drop ship item and supplier	
Item: Back-to-Back Enabled = Yes (Order Management tab)	
Item: Default Sales Order Source = External	
Item: Purchasable = Yes (Purchasing tab)	
Item: Planning Method = MRP Planning (MRP tab)	
GOP: Sourcing Rule (Buy From Supplier) created	
GOP: ATP Rule created for supplier lead time	
GOP: Assignment Rule — Item linked to sourcing rule	
OM Parameters: Preparer for Procurement configured per BU	
Procurement Offering: Customer Sales Order Fulfillment enabled	

Order Management Offering: Drop Ship feature enabled	
Drop Ship Financial Flow: BU relationship and ASN ownership event configured	
Supplier Portal access confirmed for supplier ASN submission	
End-to-end test order completed successfully in non-production	

Common Issues and Troubleshooting

Issue	Root Cause	Resolution
PO not auto-generated	Back-to-Back Enabled = No on item	Enable in PIM Order Management tab
Requisition created, no PO	No BPA for item/supplier	Create BPA or manually raise PO
GOP not selecting supplier	Assignment Rule missing	Create Assignment Rule linking item to sourcing rule
ASN not updating order status	Financial Flow not configured	Configure Manage Drop Ship Financial Flows
PO Preparer missing	OM Parameters Preparer for Procurement blank	Add preparer per BU in OM Parameters
Procurement feature missing	Offering not opted in	Enable Customer Sales Order Fulfillment in Procurement Offering

Conclusion

The Oracle Fusion Redwood Drop Ship process is one of the most fully automated supply chain flows in Oracle Cloud SCM. When configured correctly — from the Blanket Purchase Agreement and item attributes through GOP setup, offering enablement, and financial flow configuration — the system handles the entire order-to-ship cycle without manual intervention.

The Redwood UI delivers an intuitive, modern experience across all touchpoints: the Fulfillment tab provides end-to-end order visibility, the Supplier Portal enables seamless ASN submission, and the automatic status transitions from Awaiting Shipping to Awaiting Billing keep the AR team informed without manual tracking.

For Oracle ACE practitioners, mastering this flow is essential for delivering high-quality SCM implementations that reduce inventory costs, expand product catalogs, and streamline supplier-to-customer fulfillment.

Reference: *Oracle Support — Order to Cash Drop Ship Order Flow (Doc ID 2278649.1)*

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